

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.

(Complainant)

vs.

Top Shipping Systems, Corp.

(Respondent)

COMPLAINANT'S REPLY BRIEF

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INTRODUCTION

Respondent's Opposition ultimately depends on two factual premises that the record does not establish. First, Respondent now characterizes TSS as "merely the consignee-destination agent" and invokes cases involving entities acting as destination or delivery agents for identified transportation principals. But TSS's own sworn witnesses testified that TSS was not the destination agent for either subject shipment. They identified Dolphin Logistics and DHY Shipping as the destination or U.S. agents. Second, Respondent treats the absence of a TSS-issued ocean house bill of lading from the produced record as affirmative proof that no such TSS document or relationship existed. The record supports no such negative finding.

The evidence instead establishes a division of functions. The upstream NVOCCs and their destination agents accomplished freight release. After that release, TSS took control of the transportation that followed. TSS obtained the containers from the terminals, generated the operative delivery orders, hired and instructed the performing truckers, determined and changed delivery destinations, paid transportation-related charges, appeared as consignee and later consignor on carrier documents, took possession or caused its trucking provider to retain possession, warehoused the cargo, and decided whether onward delivery would occur. Respondent has now admitted many of those facts in its Responses to Complainant's Proposed Findings of Fact.

Respondent's Section 41102(c) defense fails for an equally basic reason. Respondent argues as though Complainant seeks to infer a company practice from two isolated containers. The record contains much more. TSS's employee Isaac Sarmiento was expressly asked whether holding customers' containers for debts owed to TSS was a "common practice of TSS." He answered yes, testified that TSS had done it to another customer, explained that when finance

places an account on hold the instruction is not to release "any cargo," and confirmed that TSS would hold new containers for debts associated with old containers. Filing 100 at 16-17; Sarmiento Dep. Tr. 60:1-61:17.

That testimony is corroborated by TSS's own tariff, its written management instructions, its actual treatment of both subject containers, and Commission precedent recognizing that a standing written policy may satisfy the normal, customary, and continuous element even when only one assessed transaction is before the tribunal.

The Opposition therefore does not defeat Complainant's case. It instead confirms that the material dispute is not over what TSS did, but over the legal consequence of conduct TSS largely admits.

1. THE STATUTE MEASURES RESPONSIBILITY FROM RECEIPT TO DESTINATION

On page 2, Respondent correctly quotes the statutory requirement that responsibility extend from the port or point of receipt to the port or point of destination. 46 U.S.C. § 40102(7)(A)(ii). On pages 4 and 9, however, it repeatedly substitutes responsibility from the foreign origin to the U.S. destination or discharge port. Its own Marciano quotation uses the statutory receipt-to-destination formulation. Opposition at 2, 4, 7, 9. The statute does not make the foreign port of loading the necessary point of receipt for every intermediary.

That does not dispense with the remaining elements of common-carrier and NVOCC status, including the qualifying water transportation and shipper relationship. It does mean that Respondent cannot defeat those elements simply by labeling its services local or post-arrival. Complainant relies on the transportation documents, payment arrangements, delivery instructions, inland transportation, and cargo-release control for these imported shipments, considered together.

In CMI Distribution, Inc. v. Service By Air, Inc., Docket No. 17-05, Order Affirming-in-Part and Reversing-in-Part Initial Decision at 16 (FMC July 26, 2021) (CMI Order), the Commission credited testimony that the intermediary would take responsibility from the terminal to the customer's door. CMI involved broader transportation arrangements; terminal-to-door work was not the only evidence. But the Commission treated that work as evidence of assumed responsibility, not as a reason to exclude the intermediary from NVOCC status.

Respondent's reliance on the prior summary-judgment order does not resolve the developed record. The observation that the then-existing documents suggested TSS was not an NVOCC was made in denying summary judgment¹, not in deciding the merits. Opposition at 5. Respondent itself acknowledges that the capacity issue was later expressly deferred to the merits. Id. at 3. The Commission must now weigh the additional evidence of TSS's actual undertaking.

2. RESPONDENT CANNOT RELY ON BARTOLINI BY RECASTING ITSELF AS A DESTINATION AGENT CONTRARY TO ITS OWN SWORN TESTIMONY AND ACTIVITY

Respondent's principal analogy is Bartolini v. Miragrown Logistics Corporation dba Lucky Consol, Inc., Docket No. 2042(I), Initial Decision (May 7, 2026). But the factual premise that made Bartolini a destination-agent case is absent here.

In Bartolini, Miragrown introduced itself to the claimant from the outset as the "destination handling agent," and the Presiding Officer found that it acted in that represented capacity while another entity issued the HBL and occupied the upstream transportation role. Bartolini, Initial Decision at 13-14. TSS identifies no such contemporaneous representation for the subject shipments.

TSS's own testimony establishes a different structure.

¹ Complainant's Motion for Summary Judgment was denied *without* prejudice

Villena testified as TSS's corporate representative that TSS "was not the...destination agent in either one of these cases." Villena Dep. Tr. 64:18-25. For CHSU4047424, he identified Dolphin Logistics as Top Sealand's destination agent. For BSIU8431017, he identified DHY as Qichen's destination agent.

Del Monte independently described the same relationships. He identified DHY as the "U.S. shipping agent" for BSIU and Dolphin Logistics as Top Sealand's U.S. agent for CHSU. Del Monte Dep. Tr. 73:24-76:23. He later repeated that he communicated with Dolphin rather than Top Sealand because Dolphin was Top Sealand's U.S. agent.

Respondent's own September 10 Proposed Findings make the same point. Proposed Findings 4 and 5 identify Dolphin Logistics as Top Sealand's U.S. agent for CHSU, and Proposed Finding 7 identifies DHY as Qichen's U.S. agent for BSIU. Respondent's Responses to Complainant's Proposed Findings likewise state that TSS coordinated local pickup after receiving release information "from destination agent," necessarily describing the destination agent as an entity other than TSS.

Respondent therefore cannot obtain the benefit of Bartolini by adopting in its Opposition a status its own witnesses assigned to Dolphin and DHY.

Respondent's characterization of its own role has expanded and changed throughout this proceeding. In its Verified Answer, TSS took the categorical position that it acted "solely as a trucking (drayage) provider, customs broker, and warehouse operator" for the two subject shipments. By May 2026, TSS described its activities more broadly as those of a "notify party, customs broker, drayage coordinator, warehouse provider, cargo release agent, and storage provider." Its September 10 Responses claimed "consignee-destination agent" status to approximately seven historical shipments without identifying those shipments or establishing

that either subject container was among them. Yet in the Opposition filed the same day, TSS characterizes itself as "merely the consignee-destination agent" for the two subject shipments, a characterization its own sworn witnesses expressly reject. The progression underscores why TSS's statutory capacity must be determined from the transportation responsibility it actually assumed, not from a litigation label selected at a particular stage of the case. Opposition at 8; Resp. to Complainant's PFF 23, 48.

The distinction is substantive, not semantic. In Bartolini, the Presiding Officer found that Miragrown's post-arrival conduct was part of its destination-agent function. Here, the record establishes a handoff. Dolphin and DHY performed the destination-agent freight-release functions. TSS then took over the transportation from the point of receipt forward.

That distinction is particularly important because the conduct at issue was not imposed on TSS by the destination agents or their principals. There is no evidence that Dolphin, DHY, Top Sealand, or Qichen instructed TSS to hold CHSU at a trucker's yard, redirect BSIU to TSS's warehouse, suspend delivery, or condition release on TSS's receivables. Those were TSS decisions.

Indeed, when asked on whose behalf TSS performed the post-release services, Villena repeatedly identified FormuKleen. He testified that TSS pulled containers from the terminal "on behalf of FormuKleen," paid terminal charges on FormuKleen's behalf, and performed the requested post-release services for FormuKleen.

Respondent's new characterization consequently raises the basic question its Opposition never answers: destination agent for whom? Its witnesses identify principals for Dolphin and DHY. They identify no upstream principal for whom TSS supposedly exercised the transportation control challenged in this proceeding.

The contemporaneous record confirms that division of functions. On February 18, 2025, Dolphin, the acknowledged destination agent, copied FormuKleen and multiple TSS personnel while telling SeaBlue that CHSU4047424 was "my cnee's container" and asking where it was located. CX-0197. Dolphin did not know the container's location after pickup because it was not controlling the post-release inland movement. TSS was. TSS made the destination decisions, issued the delivery instructions, and did not authorize further delivery while FormuKleen's credit and services were suspended. Resp. to Complainant's PFF 32-34, 49, 53.

Respondent's phrase "consignee-destination agent" does not identify a commercially recognized capacity outside of the OTI/NVOCC framework. See 46 U.S.C. § 40102(20). Respondent calling itself a "consignee-destination agent" therefore does not decide whether TSS acted as an NVOCC.

If TSS means that it acted for FormuKleen as consignee, that formulation identifies FormuKleen as TSS's customer, not an upstream transportation principal whose instructions TSS was carrying out. CMI rejected the same effort to recast transportation services arranged and paid for a cargo owner as mere agency. The Commission held that Section 515.2(k) does not require NVOCC services to be performed on the intermediary's own account and relied instead on the services performed, the charges paid and collected, the shipping documents, and control of cargo release. CMI Order at 18, 21-23.

The evidence here is stronger still because TSS's challenged conduct was contrary to its customer's instruction. FormuKleen demanded delivery. TSS redirected and withheld the cargo to collect TSS's own receivables. If TSS means that it served an upstream NVOCC as destination agent, its own witnesses identify Dolphin and DHY in that role. If it means that it provided transportation services for FormuKleen, CMI establishes that serving the cargo owner does not

convert the undertaking into mere agency. Under either meaning, the label does not explain TSS's independent control.

Nor does the involvement of other regulated entities change what TSS was. Dolphin and DHY were the U.S. agents of Top Sealand and Qichen. Respondent's PFF 4-7. TSS was not. FormuKleen engaged TSS, and TSS worked for FormuKleen: it performed its services "on behalf of FormuKleen," invoiced FormuKleen in its own name, and took and controlled FormuKleen's cargo from terminal release forward. Resp. to Complainant's PFF 40, 52-53. Dolphin and DHY performed the upstream freight-release function for their disclosed principals. TSS was the separate OTI that assumed and controlled the transportation from the point of receipt and withheld delivery for its own receivables. Their presence does not supply TSS with a third-party transportation principal or convert TSS's independent undertaking into mere agency conduct.

3. THE ABSENCE OF A TSS-ISSUED HOUSE BILL DOES NOT RESOLVE NVOCC STATUS

Respondent's Proposed Finding 2 asserts that "TSS did not issue a house bill of lading for either CHSU4047424 or BSIU8431017," and the Opposition repeatedly relies on the same proposition. Respondent itself concedes that the absence of a TSS-issued house bill is not dispositive standing alone. Opposition at 6, 12. Even if the Commission ultimately accepts the proposition that no TSS-issued HBL existed, that fact does not resolve whether TSS acted as an NVOCC for the transportation it undertook from receipt forward, and the present record does not permit Respondent to convert nonproduction into broader affirmative proof of nonexistence.

The present record establishes that no TSS-issued HBL was produced. Because the compelled third-party communications and transportation-related records were never fully produced, the record cannot conclusively establish whether TSS ever issued, transmitted, or used

another HBL in a relationship with any party concerning the subject shipments. But Complainant need not prove that it did.

That distinction matters because the discovery record remained disputed. The April 1 Order compelled production of third-party communications and other transportation-related records because TSS's communications, routine practices, and operational conduct were relevant to whether it acted as an NVOCC. Complainant subsequently identified missing communications with the entities that handled, released, transported, routed, or stored the subject containers, including Qichen, Top Sealand, DHY, Dolphin, SeaBlue, the terminal, and performing carriers.

The Presiding Officer ultimately declined to order enforcement of the two orders demanding production. But that ruling did not transform the evidentiary absence of a TSS HBL into an affirmative finding that no such document ever existed or was provided to any party. The later discovery order itself recognized the dispute concerning third-party communications and the involvement of additional entities.

The narrower point is dispositive of Respondent's argument: the record cannot prove the negative proposition on which Respondent relies.

In any event, Commission precedent independently forecloses treating the absence of a respondent-issued HBL as dispositive.

In CMI Distribution, the Commission expressly rejected the argument that an entity cannot act as an NVOCC unless it issued its own house bill or appeared in a neat documentary chain of shipper-carrier relationships. The Commission held that issuance of a bill of lading is strong evidence of assumed responsibility, but the absence of one is not determinative, and an entity's conduct rather than its documentary labels governs. CMI Order at 18-19. Augst likewise found NVOCC status even though the respondent did not issue a bill of lading, based on its

transportation undertaking and the NVOCC services it performed, including customs clearance, inland transportation and freight charges, ocean freight, and final delivery. *Persimmon Augst v. Transparent Logistics LLC dba Transparent International*, Docket No. 2028(I), 2026 WL 657092, at *16-17 (SCO Feb. 27, 2026), administratively final Mar. 31, 2026.

The Commission further rejected the premise that every NVOCC relationship must appear in a direct chain of bills of lading. It explained that NVOCCs may deal through other NVOCCs and co-loaders and that carrier-to-carrier relationships do not necessarily produce the neat documentary chain Respondent's argument assumes.

Accordingly, whether or not a TSS-issued HBL existed, its nonproduction is not a categorical defense; capacity turns on the affirmative evidence of TSS's undertaking.

CMI also rejects a requirement of direct contractual privity with the ocean common carrier or appearance as shipper on the carrier's master bill. The Commission recognized NVOCC-to-NVOCC and co-loader relationships while retaining the statutory requirement that the alleged NVOCC be a shipper in its relationship with an ocean common carrier. CMI Order at 21-22. Showing that Top Sealand or Qichen occupied an upstream NVOCC role therefore does not establish that TSS could not occupy another NVOCC role in the same transportation chain.

4. TSS'S ACTUAL CONDUCT ESTABLISHES A TRANSPORTATION UNDERTAKING THAT BARTOLINI DID NOT PRESENT

The Shipping Act inquiry is functional and transaction-specific. The Commission looks to what the entity actually undertook, considered in combination, rather than permitting a party to choose its legal capacity after the fact. *CMI Distribution; Worldwide Relocations, Inc.*, Docket No. 06-01, 2012 WL 11914713, at *5-*9 (FMC Mar. 15, 2012).

The historical course of dealing is part of that evidence. In verified discovery responses, TSS admitted that it "has issued house bills of lading on certain outbound FormuKleen cargo"

and that, on other FormuKleen shipments, it "has acted as an Ocean Freight Forwarder for FormuKleen and has issued house bills of lading for those separate shipments." Respondent's Discovery Responses, Answer to Interrogatory No. 6 at 4; Response to Request for Admission No. 6 at 10. Issuing bills of lading is conduct expressly identified by § 515.2(k)(4) as an NVOCC service. TSS's decision to call its historical outbound role "Ocean Freight Forwarder" does not control the legal character of the conduct it admitted. TSS's Response to Finding 23 acknowledges the approximately fifty-four-shipment history while disputing how its historical roles should be characterized. Resp. to Complainant's PFF 23. The contemporaneous 2022 emails are consistent: FormuKleen identified TSS and Villena as "our freight forwarder," directed booking information to Villena, and the supplier referred to TSS as FormuKleen's forwarder. CX-0205 to CX-0207. The Presiding Officer has already held that "how Respondent and Complainant have interacted historically is potentially relevant" because routine practice may show how an entity acted in a particular case. Apr. 1, 2026 Order at 10 (Entry No. 63). That admitted history, together with TSS's tariff and its conduct on the subject shipments, is affirmative evidence of holding out and of the transportation role the parties understood TSS to perform.

TSS states: "TSS does not dispute that it undertook responsibility for the post-arrival services it performed." Opposition at 10. That is an admission of the undertaking itself. It narrows the dispute to whether the responsibility TSS admittedly assumed, assessed together with the remaining transportation evidence, satisfies the statutory test. TSS cannot answer that question circularly by labeling the activities "post-arrival" and then asserting that their combination cannot affect the capacity in which they were performed. *Id.* at 8-10.

Respondent's own admissions establish that TSS did far more than receive an already-completed delivery as a passive "consignee-destination agent."

TSS admits that Del Monte communicated and coordinated with DHY, Dolphin, SeaBlue, and TSS's warehouse concerning the subject containers, and that TSS contacted DHY and Dolphin to obtain release information for pickup. TSS further admits paying or advancing certain charges, controlling pickup and delivery instructions, making the final decisions concerning destination changes, generating the operative delivery orders, giving pickup authority for BSIU, and providing the instructions the truckers followed. Resp. to Complainant's PFF 30-42, 47-51. Del Monte likewise testified that TSS paid shipment charges on FormuKleen's behalf. Del Monte Dep. Tr. 26:13-25 (CX-0126). Those are not passive customs-entry functions. They are the acts by which TSS arranged, directed, paid for, and controlled the transportation from the point of receipt forward.

TSS further admits that it instructed where both containers were to be delivered; that CHSU was removed from the port pursuant to TSS's instructions; that TSS did not authorize further delivery during the account suspension; that BSIU was brought to TSS's warehouse and inventoried there; and that Villena participated in the release decision. Resp. to Complainant's PFF 49-55, 57.

Awaiting freight release establishes the sequence of pickup; it does not distinguish an NVOCC from another intermediary. The statute does not require an intermediary to override an upstream carrier's release requirement before it can assume responsibility from the point of receipt forward. What TSS calls local trucking is port drayage or inland transportation. Section 515.2(k)(6) expressly addresses inland transportation and inland freight charges on through transportation movements, and subsection (k)(8) addresses coordination between origin or

destination and vessel. Those provisions identify TSS's admitted drayage and coordination as NVOCC services when viewed with the imported transportation documents, TSS's payment of charges, and TSS's cargo-release control.

The performing carriers' documents are consistent with those admissions. TSS appeared as consignee on the port-pickup documents and later as consignor on the onward BSIU transportation. TSS's own delivery orders identified pickup points and controlled destinations.

The consignee-to-consignor sequence is evidence of TSS's role in assuming responsibility for transportation of the cargo and placing it into onward transportation. TSS's qualification that these were local carrier documents does not make them irrelevant because those documents concern the segment TSS admittedly arranged. Their significance follows from that conduct and the other evidence, not from treating either designation as independently dispositive. Resp. to Complainant's PFF 67-73; CX-0175 to CX-0181.

Del Monte likewise referred to SeaBlue as "my delivering carrier" and "my trucker."

TSS's tariff corroborates the nature of the undertaking. It identifies TSS as the "Carrier," a licensed NVOCC, governs transportation between U.S. and world ports and points, provides for intermodal through service, and defines an NRA as an arrangement to provide transportation "from origin to destination on and after receipt of the cargo by the Carrier or its agent."

CMI Distribution is particularly instructive. There, the Commission relied on the intermediary's control of cargo release as affirmative evidence of responsibility. The downstream drayage companies followed SBA's directions concerning whether cargo could be released and what conditions had to be satisfied. The Commission held that SBA's "undisputed ability to control cargo release" was further evidence of its responsibility for the cargo. CMI Order at 18.

That is not merely analogous to this case. It describes conduct TSS admits. TSS instructed the performing carriers, controlled whether delivery would continue, and exercised that authority for its own account-collection purposes.

CMI also rejected another argument Respondent advances here. SBA argued that because it was not directly named as shipper on the relevant upstream bills and other NVOCCs appeared in the chain, it could not have acted as an NVOCC. The Commission rejected that categorical argument and examined the actual services, payments, shipping documents, consignee roles, delivery arrangements, and relationships among the intermediaries. CMI Order at 21-24.

Respondent acknowledges the need to consider the totality of the evidence. Opposition at 12. That inquiry includes the combined affirmative evidence of TSS's undertaking; it cannot stop with identifying the issuers of the upstream HBLs. Respondent's attempt to reduce the analysis to "Qichen or Top Sealand issued the HBL, therefore TSS was not an NVOCC" cannot be reconciled with CMI.

5. ALI-GRIMALDI AND PHILLIP MARCIANO INVOLVED IDENTIFIABLE AGENCY RELATIONSHIPS THAT ARE ABSENT HERE

Ali-Grimaldi does not change the analysis. There, Broadpeak occupied the transportation-responsibility role and UTrade performed destination-side functions in response to Broadpeak's instructions. The claimant herself identified Broadpeak as the company entrusted with the work, and Broadpeak could seek a substitute customs broker. The record therefore contained an identifiable principal and an identifiable destination-side agent. *Ali-Grimaldi v. UTrade Logistics, LLC*, Docket No. 2040(I), Initial Decision (Apr. 22, 2026).

Here, Respondent identifies no comparable transportation principal directing TSS's challenged conduct. Dolphin and DHY were the identified destination agents. TSS performed its

own transportation functions for FormuKleen. No upstream entity instructed TSS to withhold current cargo to collect TSS's own account balances.

Phillip Marciano is distinguishable for the same reason. There, the alleged facts identified the party whose instructions the delivery agent was following. The disputed delivery conduct was undertaken at the direction of Hassan/D&T. The decision therefore concerned an entity acting as consignee or delivery agent on behalf of another responsible party. Phillip Marciano LLC v. U.S. Cargo Services Inc., Docket No. 25-11, 2025 WL 3732714 (ALJ Dec. 16, 2025), notice not to review Jan. 16, 2026.

Simple Forwarding applied the same disclosed-principal distinction. Norton Lilly was dismissed because it admitted acting for the identified regulated carrier CULL through CUL, which remained answerable for the agent's conduct. Simple Forwarding, Initial Decision at 9-10. The decision relied on Hapag-Lloyd and OJ Commerce, where the agents likewise acted for disclosed regulated principals. Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC, Docket No. 21-09, 2022 WL 1239377, at *5, *21 (ALJ Apr. 22, 2022) (proceeding settled; settlement approved by Commission June 8, 2022); OJ Commerce, 2024 WL 4034610, at *1 n.2. TSS identifies no comparable principal directing its challenged conduct.

TSS identifies no such upstream transportation principal here. Even if TSS acted as FormuKleen's agent, an agent carries out its principal's instructions. FormuKleen told TSS to deliver the cargo. TSS withheld it instead, and its own management made the destination, suspension, and release decisions to collect TSS's own receivables. Resp. to Complainant's PFF 32, 53, 57, 59, 61. That is not an agent following instructions. It is TSS acting for itself, and it distinguishes the challenged conduct from the release at the shipper's instructions described in Respondent's Marciano quotation. Opposition at 7.

Respondent therefore cannot transform cases involving genuine principal-agent structures into a rule that every entity performing destination-side functions is necessarily a destination agent. The relevant question remains what responsibility TSS itself assumed on these shipments.

Respondent's burden argument fails because Complainant's proof is affirmative. TSS generated the delivery orders, paid and directed the performing carriers, selected and changed destinations, controlled cargo release, and withheld delivery for its own receivables. TSS invokes agency to explain that conduct, but the record defeats the explanation: Dolphin and DHY were the identified destination agents, and no upstream principal directed TSS's challenged decisions. The Commission should determine capacity from TSS's proven conduct, not from an unsupported agency label.

6. RESPONDENT'S "TWO CONTAINERS" ARGUMENT IGNORES DIRECT EVIDENCE THAT THE CARGO-HOLD POLICY WAS A NORMAL, CUSTOMARY, AND CONTINUOUS TSS PRACTICE

Respondent argues that two containers involving one customer cannot establish the "normal, customary, and continuous" element of Section 41102(c). Opposition at 13-14.

Section 41102(c) expressly addresses practices connected with receiving, handling, storing, or delivering property. The fact that TSS calls its conduct post-arrival therefore does not place the conduct outside the statutory activities once regulated capacity is established. The separate normal, customary, and continuous requirement is supported by the direct evidence below, which Respondent's two-container argument ignores.

This case does not depend upon inferring a practice merely because TSS withheld two containers. TSS directly admitted the practice.

At his deposition, Sarmiento was asked whether holding customer containers for debts owed to TSS was a "common practice of TSS." He answered:

"Yes, we, we, we did it in the past with the other customer."

When asked what occurs after an account hold, he explained that finance instructs that the account is on hold and TSS does not release "any cargo." When the question was reduced to whether TSS would hold a customer's new containers for debts associated with older containers, he answered yes. Filing 100 at 16-17; Sarmiento Dep. Tr. 60:1-61:17.

The testimony is corroborated by written management policy. Before CHSU arrived, Villena placed the FormuKleen account on hold and asked for the status of the arriving container. Sarmiento responded that "until there are new payments we cannot release orders." That was not a shipment-specific instruction concerning charges on CHSU. It was an account-level release prohibition.

Respondent then applied the rule to CHSU and again to BSIU. TSS's Responses admit management participation in the account suspension and admit that its internal communication contains the statement that orders would not be released until further payments were received.

The tariff independently establishes that this was not an improvised remedy. Rule 2-190 gives TSS, as "Carrier," a general lien on property in its possession, custody, control, or in route for claims involving any shipments of the Merchant. TSS's incorporated bill-of-lading terms similarly provide a general lien across shipments.

And the tariff expressly states that TSS's published rules govern the "charges, classifications, rules, regulations and practices of Carrier."

This evidence satisfies the practice requirement under the very precedent Judge Ambrow applied in Simple Forwarding.

In *Simple Forwarding, Inc. v. China United Lines Ltd.*, Docket No. 2010(F), the Presiding Officer expressly noted that only one invoice was at issue, but nevertheless found it

more likely than not that the normal, customary, and continuous element was satisfied because the charge arose pursuant to the carrier's contractual and tariff policy. Initial Decision at 10 (ALJ Feb. 6, 2025), notice not to review Mar. 11, 2025. The decision then found that the charges were imposed pursuant to the respondent's policy because its bill of lading and tariff authorized the charge. The Presiding Officer relied on TCW, in which the Commission affirmed that the practice element was satisfied because the charge was imposed pursuant to a contractual term. *TCW, Inc. v. Evergreen Shipping Agency*, Docket No. 1966(I), 2022 WL 18068977, at *4-*5 (FMC Dec. 29, 2022), vacated and remanded only as to the reasonableness determination sub nom. *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024), practice finding reincorporated on remand, *Order on Remand* at 2 n.2 (FMC Feb. 13, 2025), aff'd, 174 F.4th 169 (D.C. Cir. 2026).

TPG Pressure is even closer factually. There, the carrier's tariff asserted a lien over property for charges connected with current or previous shipments. The Initial Decision held that because the coercive collection practice was embodied in the carrier's written tariff and terms and conditions, those written policies were sufficient to establish that the conduct occurred on a normal, customary, and continuous basis. *TPG Pressure, Inc. v. Omni Logistics LLC & Epic Freight Solutions LLC*, Docket No. 22-31, Initial Decision at 44 (ALJ Sept. 12, 2024). Commission review of that Initial Decision remains pending, with the final-decision deadline currently extended to October 20, 2026.

The evidence here therefore exceeds the "one invoice" evidence found sufficient in *Simple Forwarding*. TSS has a written cross-shipment lien policy, a written management instruction implementing an account-wide hold, two subject applications separated by months,

and sworn employee testimony that this was a common TSS practice that had also been used against another customer.

Respondent's effort to count only the two subject containers therefore answers the wrong question.

7. THE PRACTICE WAS UNREASONABLE BECAUSE TSS USED CURRENT CARGO TO COLLECT OTHER ACCOUNT OBLIGATIONS

Respondent's own admissions establish that the holds were not tied to unpaid charges on the particular shipments being withheld.

TSS admits that its CHSU invoice was not yet due when it suspended FormuKleen's credit and services, and that CHSU was released before that invoice became due. Resp. to Complainant's PFF 64-65. TSS separately admits that the BSIU invoice was not yet due when the goods were placed in its warehouse. Id. 66. And TSS admits that it made the statement in the cited communication that the BSIU goods would be released only when the account was current. Id. 61; CX-0165. The latter admission concerns the statement; the communication itself supports Complainant's position concerning the release condition.

TSS's internal January instruction said orders would not be released until new payments were received. Its April communications stated that BSIU goods would be released when the overall account was current. The condition therefore did not correspond to charges incurred on the cargo being withheld.

Respondent emphasizes that an outstanding balance remained after BSIU was released. Resp. to Complainant's PFF 20, 56; Respondent's PFF 24. Release before full payment does not establish that delivery was never conditioned on additional payments. Respondent admits that release followed additional account payments and admits making the account-current statement.

Resp. to Complainant's PFF 61, 98. The distinction is between the condition TSS communicated and the amount it ultimately accepted before release.

That is the coercive collection practice rejected in TPG Pressure. There, the NVOCC relied on a tariff lien covering prior shipments, but the Initial Decision held that private tariff terms could not make reasonable the withholding of different containers to extract payment of overdue balances.

The same principle appears in *Adenariwo v. BDP International*, Docket No. 1921(I), 2014 WL 13110647, at *1 (FMC Feb. 20, 2014), vacated in part on other grounds and remanded sub nom. *Adenariwo v. FMC*, 808 F.3d 74, 81 (D.C. Cir. 2015); *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2013 WL 9808694, at *6 (FMC Oct. 31, 2013); and *Bimsha International v. Chief Cargo Services, Inc.*, Docket No. 10-08, 2013 WL 9808692, at *5 (FMC Sept. 4, 2013), aff'd sub nom. *Chief Cargo Services, Inc. v. FMC*, 586 F. App'x 730 (2d Cir. 2014). TSS cannot convert an unreasonable cargo-control practice into a reasonable one merely by publishing a clause authorizing itself to do it.

Indeed, the tariff hurts rather than helps Respondent on the Section 41102(c) practice element. It demonstrates that cross-shipment cargo control was not an isolated employee mistake. It was a remedy TSS formally claimed for itself as Carrier.

8. RESPONDENT'S RETALIATION ARGUMENT ATTACKS A THEORY COMPLAINANT DID NOT ADVANCE

Respondent argues that because the account dispute began before the FMC Complaint, the challenged conduct cannot constitute retaliation. That is not Complainant's theory.

Complainant does not allege that TSS originally created its cargo-hold policy in retaliation for this proceeding. The issue is whether TSS continued or escalated adverse treatment because FormuKleen invoked the Commission's protection. The Commission

interprets Section 41102(d) broadly so that shippers may bring allegedly unlawful shipping conduct to the Commission without fear of retaliation. Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 201 (FMC Dec. 28, 2021).

The Complaint was filed June 9, 2025 and served June 17. TSS admits that BSIU remained at its warehouse until June 25 and was released after additional account payments during the suspension of FormuKleen's credit and services. Resp. to Complainant's PFF 95-96, 98.

TSS's chronology does not eliminate the post-protected-activity question merely because the account dispute began earlier. Complainant also relies on the sworn declarations concerning the July 10 retrieval, including the alleged reference to "trouble" and threatened destruction of remaining goods. Entry No. 10 at 1-2; Entry No. 12, Exs. A-B. TSS disputes those allegations. Resp. to Complainant's PFF 99. Their weight and the inference concerning motive must be assessed with the chronology; Complainant does not treat them as admissions or ask the Commission to retroactively transform the earlier detention into retaliation.

The Opposition's temporal argument consequently does not dispose of Section 41102(d).

9. COMMUNICATING A PAYMENT ULTIMATUM DOES NOT NECESSARILY CONSTITUTE REASONABLE DEALING OR NEGOTIATION

Respondent next argues that it cannot have refused to deal or negotiate because it continued communicating with FormuKleen but communication alone does not answer the statutory question.

Section 41104(a)(10) prohibits an unreasonable refusal to deal or negotiate. Continued account discussions do not answer whether TSS unreasonably withheld the transportation service itself. TSS admits that the CHSU invoice was not yet due at the relevant suspension and release points and that the BSIU invoice was not due when the goods entered the warehouse. Resp. to

Complainant's PFF 64-66. Those facts bear directly on why withholding current delivery for broader account obligations was unreasonable.

TSS did not merely negotiate the price or terms of the subject transportation. It withheld the service itself, continued delivery and release, unless FormuKleen satisfied an account-wide payment condition.

TSS admits that it did not authorize further delivery of CHSU while the credit and service suspension remained unresolved. It admits that BSIU remained at TSS's warehouse until June 25 and was released after further account payments.

OJ Commerce confirms that the analysis turns on the service the carrier actually withheld, not merely whether the parties continued speaking. A carrier may continue some commercial interaction while refusing the particular transportation service at issue. OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG, Docket No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024). Way Interglobal likewise found a Section 41104(a)(10) violation where an NVOCC refused delivery despite payment for the shipment at issue. Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd., Docket No. 22-28, Initial Decision at 39-41 (ALJ Apr. 19, 2024), published at 8 F.M.C.2d 289, Commission review pending.

Similarly, the current record presents more than dissatisfaction with an offer, which is the circumstance addressed by Respondent's reliance on Consumer Electronics. FormuKleen was not merely offered commercial terms it disliked. TSS had physical and documentary control over current cargo and conditioned completion of delivery on satisfaction of unrelated broader account obligations.

That is the conduct the Commission must evaluate under Section 41104(a)(10).

10. THE SECTION 41104(a)(4)(E) CLAIM REMAINS TIED TO THE TARIFF RECORD

Respondent argues that Complainant has not established that the subject services were provided pursuant to a particular NRA or tariff arrangement.

Complainant does not contend that merely possessing an NVOCC tariff automatically proves that every TSS service was performed pursuant to that tariff.

The tariff is significant evidence of how TSS held itself out and of the rules and practices it published as Carrier. It identifies TSS as the Carrier and NVOCC, covers transportation between U.S. and world ports and points, provides for intermodal and inland service, permits TSS to arrange inland transportation and select motor carriers, publishes a general carrier lien, and describes its rules as governing the practices of Carrier.

TSS's tariff publishes a general lien over cargo for obligations arising from other shipments, which is exactly the cross-shipment cargo-control practice TSS imposed on CHSU and BSIU. TSS now attributes that same conduct to Florida Statute § 677.209(1) instead. Resp. to Complainant's PFF 22. That new characterization does not erase TSS's published Carrier rule or alter the character of the conduct. It instead confirms that TSS is attempting to relabel the same cargo-control authority as a warehouse lien when defending its conduct in this proceeding. TSS identifies no service contract, NRA, or other exempt arrangement under which the subject NVOCC service fell outside that tariff. If the Commission finds that TSS acted as the NVOCC for these shipments, the un rebutted tariff record establishes the required nexus: TSS used current cargo to collect unrelated account balances under the same cross-shipment authority published in Rule 2-190. Relabeling that practice as a warehouse lien does not remove it from § 41104(a)(4) (E). And TSS's warehouse-lien theory does not reach CHSU4047424 at all. TSS never held that container in a warehouse; it had it pulled and held at its trucking partner's yard. Verified Answer at 5.

Complainant therefore maintains the position stated in its Opening Brief: if the Commission finds from the record that the subject services were rendered within TSS's tariff/NRA framework, TSS's use of cargo control to force settlement of unrelated account receivables supports liability under Section 41104(a)(4)(E). If the Commission concludes that the necessary tariff-service nexus is not established, that conclusion does not diminish the independent evidence supporting Sections 41102(c), 41102(d), and 41104(a)(10).

11. RESPONDENT'S DAMAGES ARGUMENT DOES NOT REBUT THE DOCUMENTED ACTUAL INJURY

Respondent does not identify an arithmetic error in Complainant's damages calculation or offer a competing calculation. Its argument is that Complainant's evidence does not adequately establish causation.

The damages record consists of more than an unsupported spreadsheet. Complainant submitted the Schedule of Actual Injury and underlying records for replacement and mitigation purchases, storage, governmental charges, the incremental chassis expense, affected customer orders, historical sales, and the lost-profit calculation.

Those records support \$57,734.17 in direct actual injury and \$83,092.97 in lost profit, for total actual injury of \$140,827.14.

The causal sequence is also supported by the liability evidence. TSS withheld access to inventory during documented periods in which FormuKleen needed that inventory to fulfill customer obligations. Replacement purchases and storage-related costs were incurred during those deprivation periods, and the lost-profit calculation identifies orders affected by the inability to supply the withheld inventory. Resp. to Complainant's PFF 8, 53-55, 98, 100-101; CX-0183 to CX-0184; CX-0208 to CX-0299. The supporting accounting materials appear at CX-0300 to CX-0305.

Respondent's suggestion that unidentified "commercial circumstances" might have caused some losses does not identify a competing factual cause or rebut the documentary record. The Commission may assess the weight of each category, but Respondent has not shown that the damages evidence as a whole is speculative or unrelated to the challenged conduct.

The \$695 CBP penalty is not answered by Respondent's general contention that duty advances were a revoked credit accommodation or by Del Monte's testimony concerning timely payment of CHSU duties. The payment correspondence at CX-0306 identifies entry 87D-0030971-9. TSS's April 23 email concerning entry 0030971-9 states that \$14,130.39 in duties had not been paid and directs FormuKleen to pay CBP. RX000058. Those records tie TSS's April 23 notice and the later \$695 penalty payment to the same CBP entry. The chronology supplies the causal link. The Form 7501 lists April 9 as the entry date, and TSS stated that duties were due within ten days of entry, making April 19 the deadline. TSS suspended FormuKleen's credit on April 17, two days before that deadline, and did not identify entry 87D-0030971-9 or direct FormuKleen to pay CBP until April 22-23, after the deadline had passed. CX-0172 to CX-0173; RX000058. The \$695 penalty was later paid on that same entry. CX-0306. Respondent's PFF 18 confirms that TSS stopped advancing duties because of the same account-wide delinquency determination underlying the challenged cargo holds. That admission links the disruption in duty payment to the challenged suspension. Respondent's assertion that FormuKleen was importer of record does not establish that the resulting penalty was independent of TSS's conduct.

Respondent likewise disputes the context and causal significance of the customer communication at CX-0307. Resp. to Complainant's PFF 103. CX-0307 is not offered as a standalone measure of lost profit. It explains a component of the direct injury. On May 27, 2025,

during BSIU's detention, SLS, a repeat customer whose ordering history appears at CX-0274 to CX-0277, answered FormuKleen's request for another order by saying it could no longer order. CX-0307. The SLS-branded merchandise FormuKleen could no longer sell has been in storage, accruing charges, since July 2025. CX-0238 to CX-0240.

12. THE COMMISSION NEED NOT RESOLVE THE DISCOVERY DISPUTE AGAIN TO DECIDE THE MERITS

Complainant preserves its discovery objections, its objections to the enforcement rulings, and its request under 46 C.F.R. § 502.150(b) as presented in the Opening Brief at 28. Nothing in this reply concedes that Respondent's production was complete or withdraws that request.

But the merits do not depend upon obtaining discovery sanctions.

Respondent's own Opposition and Responses to Complainant's Proposed Findings now supply extensive admissions concerning the operative transportation, cargo control, account suspension, delivery instructions, management decision-making, warehousing, and release conditions.

The discovery history remains relevant in one narrower respect. Respondent cannot rely on the absence of an unproduced document, particularly a TSS-issued HBL or additional third-party transportation communications, as affirmative proof of nonexistence. The Commission may accept the present record as closed without converting its incompleteness into evidence supporting Respondent.

The merits should therefore be resolved from what the record, as it is, affirmatively establishes.

13. THE GOVERNING TEXT TRACKS TSS'S ADMITTED CONDUCT

Section 515.2(k) defines “non-vessel-operating common carrier services” and expressly identifies activities that TSS admits performing in connection with the subject shipments. 46 C.F.R. § 515.2(k).

46 C.F.R. § 515.2(k) activity	TSS's admitted conduct
§ 515.2(k)(2): Payment of port-to-port or multimodal transportation charges	TSS admits that it paid or advanced certain charges on FormuKleen's behalf and invoiced FormuKleen; Del Monte testified that TSS paid terminal and co-loader charges for the subject shipments. Resp. to Complainant's PFF 40; Filing 100 at 10-11; Del Monte Dep. Tr. 56:15-59:5, 69:18-71:21, 108:17-109:14.
§ 515.2(k)(4): Issuing bills of lading or other shipping documents	TSS admits that it generated the delivery orders used for the subject containers, generated and communicated drayage instructions, gave pickup authority for BSIU, sent the BSIU delivery order, and provided delivery instructions or delivery orders to the truckers for both containers. Resp. to Complainant's PFF 33-34, 37-38, 51.
§ 515.2(k)(5): Assisting with clearing shipments in accordance with U.S. government regulations	TSS admits performing customs brokerage for the subject shipments. It further admits that TSS filed the ISF and performed customs clearance. Resp. to Complainant's PFF 7, 26, 46.

46 C.F.R. § 515.2(k) activity	TSS's admitted conduct
§ 515.2(k)(6): Arranging for inland transportation and paying for inland freight charges on through transportation movements	TSS admits performing drayage for the subject shipments and facilitating trucking for the subject containers. TSS further admits that it provided pickup and delivery instructions, gave pickup authority for BSIU, sent the BSIU delivery order, paid or advanced certain charges, coordinated pickup after release, and provided the truckers with delivery instructions for both containers. Resp. to Complainant's PFF 26-27, 30-31, 37-40, 47-51. TSS also "does not dispute that it undertook responsibility for the post-arrival services it performed." Opposition at 10. Those admitted acts establish that TSS arranged and controlled inland transportation from the statutory point of receipt within § 515.2(k)(6).

46 C.F.R. § 515.2(k) activity	TSS's admitted conduct
§ 515.2(k)(8): Coordinating the movement of shipments between origin or destination and vessel	TSS admits that it contacted DHY and Dolphin to obtain release information, coordinated pickup after release, provided delivery instructions for both subject containers, and that CHSU4047424 was pulled from the port pursuant to TSS's pickup instructions. Resp. to Complainant's PFF 47-52. Those admitted acts placed TSS at the operative handoff between the destination agents' freight-release function and the inland transportation that followed, through which TSS took control and assumed responsibility from the statutory point of receipt.

One point is especially significant here. Subsection (k)(4) does not limit shipping documentation to a respondent-issued HBL; it expressly includes "bills of lading or other shipping documents." TSS's admitted delivery orders and operative transportation instructions therefore fall within the regulatory description of NVOCC services even if TSS disputes issuing an HBL for these shipments.

The statute supplies the ultimate test. A common carrier is a person that holds itself out to provide qualifying transportation for compensation, assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and uses a qualifying vessel for all or part of that transportation. 46 U.S.C. § 40102(7)(A). An NVOCC is such a common carrier that does not operate the vessel by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier. *Id.* § 40102(17). Neither provision

makes issuance of the entity's own ocean HBL a separate statutory element. The question remains what transportation responsibility the entity actually assumed.

Here, after the actual destination agents accomplished freight release, TSS assumed responsibility, coordinated port pickup, generated the operative delivery orders, gave pickup authority and delivery instructions, caused the containers to be removed from the port and directed their destinations, paid or advanced charges, and controlled whether onward delivery would continue. Those admitted acts substantially track the services identified in § 515.2(k) and reinforce the same functional conclusion reached under § 40102 and CMI Distribution: statutory capacity follows the transportation undertaking, not the label attached to it in litigation.

CONCLUSION

TSS does not dispute what it did. It admits that it "undertook responsibility for the post-arrival services it performed." Opposition at 10. It directed the truckers, made the destination decisions, paid the charges, took possession of the cargo, and withheld delivery until its account was brought current. Its defense is that none of this counts because TSS did not assume responsibility "from origin to destination." The statute says receipt, not origin. 46 U.S.C. § 40102(7)(A)(ii). TSS's responsibility began at the terminal itself: it obtained the release information, paid the terminal charges, and issued the pickup authority and delivery orders under which the containers were picked up. From that point of receipt at the terminal, it controlled their transportation to destination. That is exactly what the statute asks.

TSS's remaining answers are labels. The "consignee-destination agent" label TSS adopted in its Opposition describes no recognized role, and its own witnesses identify Dolphin and DHY as the destination agents. The absence of a TSS-issued HBL does not decide capacity; conduct controls. And the cargo hold was TSS's practice, not a one-time dispute. Its tariff publishes the

cross-shipment lien, management issued a written no-release instruction, and its own employee testified that holding cargo for unrelated debt was common TSS practice, one TSS has used beyond FormuKleen.

For those reasons, Complainant respectfully requests that the Commission reject Respondent's defenses, find that TSS acted in the regulated capacity established by its conduct on the subject transportation, find the Shipping Act violations set forth in Complainant's Opening Brief, award \$140,827.14 in actual injury together with commercial interest under 46 U.S.C. § 41305(a), award such additional amount as the Commission finds appropriate under § 41305(c), preserve Complainant's right to seek representative fees under 46 C.F.R. § 502.254, and grant such further relief as is just and appropriate.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on September 22, 2026, a true and correct copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondent:

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